

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

SAMSUNG ELECTRONICS AMERICA, INC., *Complainant*

v.

SM LINE CORPORATION, *Respondent*.

DOCKET NO. 23-01

Served: November 21, 2023

ORDER OF: Alex M. CHINTELLA, *Administrative Law Judge*.

ORDER GRANTING REQUEST FOR LETTER OF REQUEST UNDER HAGUE CONVENTION

On November 18, 2023, Complainant Samsung Electronics America, Inc. (“SEA”) filed an application and Notice of Letter of Request to Take the Deposition of Yoon-Jai (“Mark”) Lee pursuant to the Hague Convention on the Taking of Evidence Abroad in Civil or Commercial Matters. Under Commission Rule 142, depositions in a foreign country may be taken pursuant to such a letter of request, which may be granted on application of the party seeking the deposition without any showing that taking the deposition in another manner is impracticable. 46 C.F.R. 502.142.

SEA has represented that Mr. Lee began employment with Respondent SM Line Corporation (“SM Line”) in January 2017 and served as Senior Vice President/Chief Executive of Sales/Operations from January 2021 until his departure from SM Line in 2023. The topics for examination listed in SEA’s request include Mr. Lee’s role in issues related to SEA shipments and related delays, demurrage and detention, arrangements for inland transportation, and other questions that are reasonably related to SEA’s claims. The proposed Letter of Request appears to be in the proper format and to comply with the relevant provisions of the Hague Convention. Therefore, I authorize SEA to utilize the Hague Convention procedures in seeking the deposition of Mr. Lee and order SEA to comply with all applicable laws of the Republic of Korea in doing so. The Letter of Request, with minor corrections, is attached. Counsel for SEA may file this Order and the Letter of Request, together with any necessary supporting documents or translations, with the relevant authorities.

Alex Michael
Chintella

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Michael Chintella
Date: 2023.11.21 13:44:22
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Alex M. Chintella
Administrative Law Judge

SAMSUNG ELECTRONICS AMERICA, INC.,
Complainant,
v.
SM LINE CORPORATION,
Respondent.

The Federal Maritime Commission (“FMC” or “Commission”), the United States-based administrative agency, presents its compliments to the appropriate judicial authority of the Republic of Korea under the Hague Convention on the Taking of Evidence Abroad in Civil or Commercial Matters (“Hague Convention”), and requests international judicial assistance to obtain evidence to be used in a civil proceeding before the Commission in the above-captioned matter. The Commission respectfully requests that the appropriate judicial authority of the Republic of Korea recognize this Letter of Request from this Commission and arrange for its execution, in adherence to the Hague Convention and in the interest of comity.

WHEREAS, the Witness is located in the Republic of Korea;

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and may be necessary for adjudication of the Parties' claims and defenses thereto, and the request for this oral testimony is not unduly burdensome;

THEREFORE, the Commission requests that the appropriate judicial authority of the Republic of Korea, in furtherance of justice, by proper and usual process of your honorable Commission, cause the Witness to appear for oral examination.

If any part of this Letter of Request cannot be enforced, it is requested that the remaining enforceable portion be enforced.

LETTER OF REQUEST

(Convention of 18 Mar 1970 on the Taking of Evidence Abroad in Civil or Commercial Matters)

1.	Sender	Federal Maritime Commission 800 North Capitol Street NW Washington, DC 20573-0001 USA
2.	Central Authority of the Requested State	National Court Administration Attn: Director of International Affairs Seocho-daero 219 Seocho-gu, Seoul 06590 Republic of Korea
3.	Person to whom the executed request is to be returned	Administrative Law Judge Alex M. Chintella Federal Maritime Commission 800 North Capitol Street NW Washington, DC 20573-0001 USA
4.	Specification of the date by which the requesting authority requires receipt of the response to the Letter of Request	
	Date	December 1, 2023
	Reason for urgency	Under the current scheduling order dated October 30, 2023, the time for obtaining fact depositions closes on January 19, 2024.

In conformity with Article 3 of the Convention, the undersigned applicant has the honor to submit the following request:

5. a	Requesting authority (Art. 3(a))	Federal Maritime Commission 800 North Capitol Street NW Washington, DC 20573-0001 USA
b	To the Competent Authority of (Art. 3(a))	The Republic of Korea
c	Names of the case and any identifying number	Samsung Electronics America, Inc. v. SM Line Corporation, Docket No. 23-01 (Federal Maritime Commission)

	Names and addresses of the parties and their representatives (including representatives in the Requested State) (Art. 3(b))	
a	Complainant	Samsung Electronics America, Inc. 85 Challenger Road, Ridgefield Park, New Jersey, 07660-2118
	Representatives	Christopher R. Nolan Allison N. Skopec Chiara D. Kalogjera-Sackellares 31 West 52nd Street New York, NY 10019 Telephone: (212) 513-3200 Telephone: (212) 513-3463 Telephone: (212) 513-3584 chris.nolan@hklaw.com allison.skopec@hklaw.com chiara.sackellares@hklaw.com Gerald A. Morrissey III Kristine O. Little 800 17th Street NW, Suite 1100 Washington, D.C. 20006 Telephone: (202) 469-5497 Telephone: (202) 469-5549 gerald.morrissey@hklaw.com kristine.little@hklaw.com Hyun Yoon 1650 Market Street, Suite 3300 Philadelphia, PA 19103 Telephone: (215) 252-9537 eric.yoon@hklaw.com
b	Respondent	SM Line Corporation SM R&D Center, #78, Magokjungang, 8-ro, Gangseo-gu Seoul, Korea 07803 SM Line Corporation conducts business in the United States under the same name, SM Line Corporation, with its principle corporate office at: 1750 East Northrop Boulevard #140, Chandler, Arizona 85286
7. a	Nature of the proceedings	Federal Maritime Commission administrative action filed pursuant to 46 U.S.C. § 41301. SEA is seeking a cease and desist order and reparations for alleged injuries caused to it by Respondent due to its violations of the Shipping Act.
b	Summary of complaint	SEA is an electronic products company incorporated in the United States in 1978, offers home appliances, phones, tablets, smartwatches, mobile accessories, mobile audio,

		televisions, monitors, and computer products to the American public. SEA's complaint alleges the following: Beginning in approximately late-2020 to mid-2021, SM Line began repeatedly failing to properly perform its obligations for inland transportation to the inland destinations. Aware of challenges with intermodal transportation logistics, SM Line continued to transport SEA goods on store door terms under through bills of lading or sea waybills for inland delivery in the United States during 2021 and 2022 and during that time repeatedly failed to properly perform its inland transportation obligations, exposing SEA to unreasonable costs, charges, delays, and other harms. As a result of SM Line's unreasonable practices, SEA has been forced to pay excessive and unlawful charges incurred by SM Line—known as “demurrage and detention” charges—and has been forced to undertake and perform the ocean carrier's inland transportation responsibilities in order to continue to import its products sold to American consumers. SEA has dealt with and continues to face manifestly unjust and unreasonable charges and practices in connection with inland transportation arrangements that are the responsibility of SM Line under its “store door” shipments. SEA has brought claims under the Shipping Act 46 U.S.C. § 41102(c) (unjust and unreasonable practices in handling property), 46 U.S.C. § 41104(a)(15) - OSRA – Invoices without Information, and 46 U.S.C. § 41104(a)(14) – OSRA – Unreasonable Charges.
c	Summary of defense and counterclaim	Respondent denies the allegations made by SEA under the Shipping Act. Respondent raises various affirmative defenses, including that (1) the FMC lack subject matter jurisdiction over the claims, (2) SEA lacks standing, (3) that SEA failed to state a claim, (4) the conduct does not constitute a practice within the meaning of 46 U.S.C. § 41102(c), (5) the allegations in the Complaint lack a meritorious factual basis, (6) some or all of the charges which are the subject of the Complaint were imposed by and paid to persons other than SM Line, (7) Some or all the charges which are the subject of the Complaint were incurred due to the acts and or omissions of SEA and/or its agents. Respondent noted that it reserves rights to bring a counterclaim against SEA but has not raised any to date.
d	Other necessary information or documents	The witness whose deposition testimony is sought is Mark (Yoon-Jai) Lee, former who served as SVP/Chief executive of Sales/Operations at SM Line until a few months ago. Mr. Lee would serve as a 143(b)(6) corporate witness who likely has relevant information and knowledge related to SM Line's

		practices and procedures employed during the relevant period, including SM Line’s relationship and decision-making related to SEA.
8. a	Evidence to be obtained or other judicial act to be performed (Art. 3(d))	This letter of request seeks the testimony of Mark Lee.
b	Purpose of the evidence or judicial act sought.	The evidence is sought for use by SEA in drafting Complainant’s brief, proposed findings of fact, and Appendix, due on March 15, 2024, and any potential needs after this stage such as trial. SEA believes that the testimony requested likely will support its claims related to the Shipping Act.
9.	Identity and address of persons to be examined (Art. 3(e))	Yoon-Jai (“Mark”) Lee OEC Group (Seoul) 03186 Rm904 Gwanghwamun Officia 163 Shinmunno 1ga, Jongno-Gu, Seoul South Korea
10.	Questions to be put to the persons to be examined, or statements of the subject matter about which they are to be examined (Art. 3(f))	See <u>Exhibit 1</u>
11.	Any requirement that the evidence be given on oath or affirmation and any special form to be used (Art. 3(h))	The testimony should be given under oath. The form of oath ordinarily used under Article 321 of the Civil Procedure Act is acceptable. SEA further requests that a transcript of the proceeding be prepared for distribution after the completion of the deposition.
12.	Special methods or procedures to be followed (Arts 3(i) and 9)	The Requesting Authority further requests that the questions and answers be transcribed verbatim. The Requesting Authority requests that, to the extent permissible under the law of Korea, the parties’ US legal counsel and Korean legal counsel be permitted to put follow-up questions to the witnesses. To the extent that is not permissible under the law of Korea, the Requesting Authority requests that the parties’ US legal counsel or Korean counsel be permitted to provide a list of follow-up questions to the judge and that the judge put them to the witnesses.
13.	Request for notification of the time and place for the execution of the Request and identity	The Requesting Authority requests that the parties’ representatives listed above be given advance notice, by mail, email, or other electronic means, of the time and place of all proceedings to be held in connection with this Letter of Request and of the time and place for the witness’s testimony. The

	and address of any person to be notified (Art. 7)	Requesting Authority further requests that the date of the witnesses' testimony should be set no later than thirty (30) days after receipt of the Letter of Request.
14.	Request for attendance or participation of judicial personnel of the requesting authority at the execution of the Letter of Request (Art. 8)	Not applicable.
15.	Specification of privilege or duty to refuse to give evidence under the law of the Requesting State (Art. 11(b))	See <u>Exhibit 2</u> (Parties' Confidentiality Agreement).
16.	The fees and costs incurred which are reimbursable under the second paragraph of Article 14 or under Article 26 of the Convention will be borne by:	The Parties.

CONCLUSION

This Commission, in the spirit of comity and reciprocity, hereby requests international judicial assistance in form of this Letter of Request seeking testimony described herein, from the appropriate judicial authority of the Republic of Korea. This Commission extends to all judicial other authorities of the Republic of Korea the assurances of its highest consideration.

Date of request	November 21, 2023.
Signature and seal of the Requesting Authority	Alex Michael Chintella Administrative Law Judge Alex M. Chintella Federal Maritime Commission 800 North Capitol Street NW Washington, DC 20573–0001 USA  Digitally signed by Alex Michael Chintella Date: 2023.11.21 13:43:58 -05'00' 

EXHIBIT 1

DEFINITIONS

The following definitions shall apply to all capitalized terms used herein.

1. “Chassis” refers to the load-bearing framework and associated equipment designed for use by Motor Carriers for over-the-road transportation of international shipping containers in the United States.
2. “Communication” whether used in the singular or plural means the transmission, sending and/or receipt of information of any kind, or the attempt to elicit information of any kind, by and/or through any means between any Person or Persons. The phrase “communication between” is defined to include instances where one party communicates with another party but that other party does not necessarily respond.
3. “Container” or “Containers” means an intermodal shipping container used for the carriage of goods in Ocean Transportation and Inland Transportation.
4. “CY move” or “CY terms” means Ocean Transportation under an Ocean Carrier bill of lading or sea waybill to a Marine Terminal, not including further Inland Transportation.
5. “Demurrage” means charges assessed in connection with Containers at a Marine Terminal or Inland Terminal for pickup after the applicable period of Free Time, including, but not limited to, similar charges of the type described but having other names, such as “line demurrage,” “port demurrage,” “terminal demurrage,” “long-dwell fees,” “storage” charges, etc.
6. “Detention” means charges assessed with respect to Containers or equipment during a period after removal from a Marine Terminal or Inland Terminal beyond the applicable Free Time period before the Container or equipment is returned to a designated return location, including, but not limited to, similar charges of the type described but having other names, such as “Per Diem.”

7. “FMC” or the “Commission” means the Federal Maritime Commission and any and all of its agents, representatives, employees, consultants, contractors, subcontractors, investigators, attorneys, and any other persons or entities acting or purporting to act on behalf of the Federal Maritime Commission.

8. “Free Time” means the period of time a (i) Container can remain at a Marine Terminal or Inland Terminal without incurring Demurrage charges, and (ii) Container or a Chassis can remain outside of a Marine Terminal or Inland Terminal without incurring Detention charges.

9. “Inland Terminal” means rail terminals, Container yards, off-dock Container yards (“ODCYs”), freight stations, intermodal equipment storage areas, Container depots, and similar facilities in the United States used for the transportation of Containers in Inland Transportation.

10. “Inland Transportation” means the overland transportation of goods or Containers by rail or truck to or from the inland place of receipt or place of delivery identified on a bill of lading or sea waybill to or from the port of loading or discharge identified on a bill of lading or sea waybill.

11. “Marine Terminal” means a terminal located in a United States port of loading or discharge identified on a bill of lading or sea waybill where the loading or discharge of Containers to or from vessels for Ocean Transportation occurs.

12. “Motor Carrier” refers to a motor vehicle operator and/or drayage company transporting property for compensation.

13. “Ocean Carrier” is a Person that is an “ocean common carrier” as defined under the Shipping Act of 1984 and subsequent FMC regulations, including SM Line.

14. “Ocean Transportation” means the transportation over water between a port in the United States and a foreign port identified on a bill of lading or sea waybill.

15. “Person” whether used in the singular or plural means any natural person, firm, association, partnership, corporation, business, trust, public entity, or other form of legal entity.

16. “Relevant Time Period” shall mean the period of time from January 1, 2020 to present, unless otherwise specifically indicated.

17. “SEA” or “Complainant” means Samsung Electronics America, Inc.

18. “SEA Shipment(s)” means the Container shipments of goods transported by SM Line, its affiliates, contractors, sub-contractors and/or agents for which SM Line was identified as the carrier and SEA was identified as a consignee or notify party on a SM Line bill of lading or sea waybill, or for which SM Line directly or indirectly assessed or invoiced SEA (including but not limited to invoices for demurrage or detention from SM Line listing SEA as payer or consignee).

19. “Store Door move” or “Store Door terms” means the combined Ocean Transportation and Inland Transportation under one Ocean Carrier bill of lading or sea waybill to and through a Marine Terminal at a port of discharge or destination and to an inland place of delivery or final destination stated on the bill of lading or sea waybill.

20. “You” or “Yours” means Yoon-Jai (“Mark”) Lee.

21. “SM Line” or “Respondent” means and includes SM Line Corporation and its subsidiaries, affiliates, predecessors, successors and assigns, and all their officers, directors, employees, agents, representatives, and persons acting or purporting to act on their behalf, including, but not limited to, SM Line Corporation.

TOPICS FOR EXAMINATION

Per Art. 3(f), deposition questioning of Mr. Yoon-Jai (“Mark”) Lee will encompass all matters that are at issue in SEA’s claims and SM Line’s defenses thereto. By way of examples only, the representative areas of examinations will include:

1. Your role as a Vice President and Senior Vice President and Chief Executive of Sales/Operations at SM Line during the Relevant Time Period, including how it related to SEA Shipments, delays due to Chassis shortage, equipment shortage, personnel shortage, appointments, or miscommunication(s).
2. Non-privileged Communications (internal and external) in connection with SEA Shipments, Demurrage and Detention charges in connection with SEA Shipments, and other charges in connection with SEA Shipments relating to Inland Transportation of SEA Shipments (other than charges for inland drayage, such as, bobtail charges, congestion surcharges, waiting charges, off-site storage or “pre-pull” charges, and other such additional charges), during the Relevant Time Period.
3. Non-privileged Communications related to any instructions given by You to other SM Line employees regarding how to handle SEA Shipments and/or client relationship.
4. SEA Shipments, including all drayage agreements, invoices, work orders, delivery orders, purchase orders, waiver or extension requests and responses, and payment records during the Relevant Time Period.
5. Your understanding of the terms “store door,” “house trucker,” “nominated trucker,” or “preferred trucker,” or “CNT (customer nominated trucker),” “container yard” and how those terms functions in the operations of SM Line as You understand them.
6. SM Line’s practices, policies, procedures and decision making in connection with Free Time, Demurrage, and Detention, including planning, negotiating, assessment, determination of responsibility, waiver, charging, invoicing, and collection for United States Containers since 2018 to the present.
7. SM Line’s practices, policies, procedures and decision making for arranging and providing Inland Transportation of Containers in the United States since 2018 to the present.
8. SM Line’s pricing, contracts, agreements, and arrangements with Motor Carriers, Marine Terminals, Inland Terminals, and Rail Carriers in connection with the Inland Transportation of Containers in the United States, including with respect to Chassis at Inland Terminals.
9. SM Line’s costs for providing Inland Transportation in the United States, SM Line’s costs for equipment past Free Time in the United States, and SM Line’s revenue from Demurrage and Detention in the United States from 2018 to the present.
10. SM Line’s relative proportion of shipments into the United States on Store Door terms compared to CY terms.

11. SM Line's practices, policies, procedures and decision making in connection with the extension of Free Time, requests or waivers of Demurrage and Detention charges, and dispute resolution in connection with Demurrage and Detention charges.
12. SM Line's practices, policies, procedures and decision making with respect to collection of unpaid invoices, cargo holds and credit holds in connection with Containers shipped in the United States
13. SM Line's deliberation and decision making concerning responsibility for Inland Transportation charges in connection with pandemic-era congestion and equipment availability constraints.
14. SM Line's agreements with the shippers of SEA Containers.
15. SM Line's assessment, invoicing and collection of Demurrage and Detention on SEA Shipments at issue in this proceeding.
16. SM Line's cargo holds and credit holds on SEA Shipments at issue in this proceeding.